

Merrill Lynch restaurant expert to recommend Dunkin' Donuts when you've already seen eight new franchises opening up in your area? The Merrill Lynch restaurant analyst isn't going to notice Dunkin' Donuts (for reasons I'll soon explain) until the stock has quintupled from \$2 to \$10, and you noticed it when the stock was at \$2.

GIGGING THE GIGAHERTZ

Among amateur investors, for some reason it's not considered sophisticated practice to equate driving around town eating donuts with the initial phase of an investigation into equities. People seem more comfortable investing in something about which they are entirely ignorant. There seems to be an unwritten rule on Wall Street: If you don't understand it, then put your life savings into it. Shun the enterprise around the corner, which can at least be observed, and seek out the one that manufactures an incomprehensible product.

I heard about one such opportunity just the other day. According to a report somebody left on my desk, this was a fantastic chance to invest in a company that makes the "one megabit S-Ram, C-mos (complementary metal oxide semiconductor); bipolar risc (reduced instructive set computer), floating point, data I/O array processor, optimizing compiler, 16-bytes dual port memory, unix operating system, whetstone megaflop polysilicon emitter, high band width, six gigahertz, double metalization communication protocol, asynchronous backward compatibility, peripheral bus architecture, four-way interleaved memory and 15 nanoseconds capability."

Gig my gigahertz and whetstone my megaflop, if you couldn't tell if that was a racehorse or a memory chip you should stay away from it, even though your broker will be calling to recommend it as the opportunity of the decade to make countless nanobucks.

A POX ON THE CABBAGE PATCH

Does that mean I think you ought to buy shares in every new fast-food franchise, every business that has a hot product, or every public company that opens an outlet in the local mall? If it were that simple, I wouldn't have lost money on Bildner's, the yuppie 7-Eleven right across the street from my office. If only I'd stuck to the sandwiches and not to the stock, fifty shares of which would scarcely buy you a tuna on rye. More on this later.

And how about Coleco? Just because the Cabbage Patch doll was the best-selling toy of this century, it couldn't save a mediocre company with a bad balance sheet, and although the stock rose dramatically for a year or so, spurred